

Table 47.6 Trading Tactics

Trading Tactic	Explanation
Measure rule	Calculate the height of the first leg from highest high to lowest low. Add the difference to the lowest low in the corrective phase. The result is the expected target price. The lower portion of the table shows how often the measure rule works using various pattern heights.
Buy	Take a position in the stock sometime after the corrective phase completes and price rises during the second leg.
Support/resistance	The corrective phase shows future support or resistance.

Description	Bull Market	Bear Market
Percentage reaching half height target	99%	100%
Percentage reaching .75 height target	91%	89%
Percentage reaching full height target	60%	52%

The lower portion of the table shows how often the measure rule works depending on the height used. In the above example, we used the full height. The table shows the full height works 60% of the time in bull markets.

If you want to increase the potential for success, cut the height in half or three quarters and use that in the computation. You'll get a closer target. If price reaches the target, you won't make as much if you sell there, but you may be able to bank a profit.

Once you calculate the target price using the measure rule, ask yourself if the gain is large enough to justify a trade. If the answer is yes, then look at the chart again. Are there areas of resistance on the way to the target price where the stock might get hung up? If so, you might need to lower your target. If you are lucky and significant resistance is above your target, you can move your target upward to just below the resistance zone. In all likelihood the stock will shoot into the resistance zone, so you will have ample opportunity to close out your position.